

Section 2 — Balance Sheet

As of December 31, 2025

Account	Debit	Credit	Balance
■■ Asset ■■			
1010 Acct.Cash.Bank	\$223,671.59	\$216,905.60	\$6,765.99
1025 Acct.Cash.Escrow	\$220,897.59	\$220,897.59	\$0.00
1460 Acct.Fixed.Depreciation.Accum		\$1,903.13	(\$1,903.13)
1410 Acct.Fixed.Land	\$79,438.41		\$79,438.41
1310 Acct.Fixed.Tangible.InConstruction	\$2,532.36		\$2,532.36
1430 Acct.Fixed.Tangible.InService	\$141,223.84	\$1,660.64	\$139,563.20
■■ Equity ■■			
3100 Acct.Equity.Earnings.PnL		\$393.50	(\$393.50)
3010 Acct.Equity.Owner.Capital.Funds	\$493.50	\$225,829.28	(\$225,335.78)
TOTAL	\$668,257.29	\$667,589.74	\$667.55

Note — Open-Period Accounting: The BS equation gap (\$667.55) equals the period Net Income. The GL is balanced under $A = L + E + NI$ (\$226,396.83 = \$225,729.28 + \$667.55). Revenue/expense accounts remain open for IRS K-1 detail; no closing entries are posted.

Accounting Notes

Note 1 — Accounting Method: Cash basis. Revenue recognised when received; expenses deducted when paid.

Note 2 — Fixed Assets: Carried at historical cost. Building basis includes purchase price plus capitalised acquisition costs per IRS Pub. 551.

Note 3 — Depreciation: MACRS General Depreciation System, 27.5-year residential rental, mid-month convention (IRS Pub. 946 Table A-1).

Note 4 — Land: Not depreciated. Value determined by tax-assessor ratio applied to total acquisition cost.